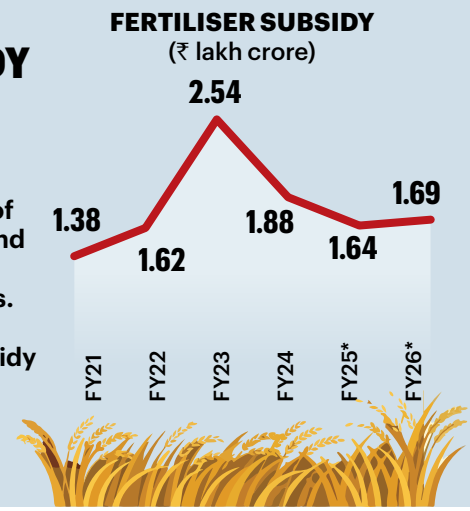


FERTILISERS

THE SUBSIDY BURDEN

India imports nearly all potash, over 90 per cent of phosphate rock and 55-60 per cent of DAP requirements. And when global prices spike, subsidy costs explode

**Budget estimates*
Source: Union budget documents



60
PER CENT
of India's urea imports come from Gulf nations; nearly half of its LNG supply—critical for domestic urea production—is also sourced from there

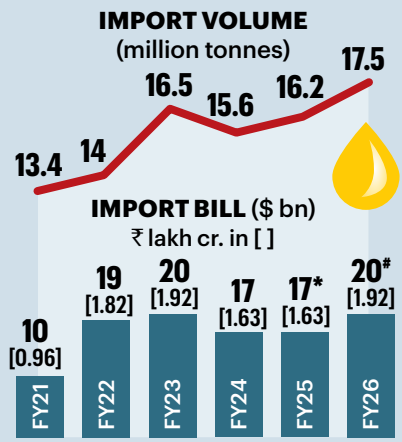


EDIBLE OILS

INFLATED BILL

India spends massive sums importing edible oils it cannot produce enough of at home, exposing a structural weakness

**estimated #projected*
Source: Figures compiled from trade and industry datasets



56
PER CENT
of India's edible oil consumption was met through imports in FY24, with palm oil accounting for nearly 55-57 per cent of those imports

India's fertiliser challenge is not simply a procurement problem; it is a structural one—built on import dependence, energy vulnerability, subsidy rigidities and political constraints

expansion of processed food and restaurant consumption. Per capita consumption stood at 19.7 kg annually and is projected by NITI Aayog to rise to 25.3 kg by 2028. Against that appetite, domestic production remains deeply inadequate. India produced just 12.18 million tonnes in 2023-24, meeting barely 44 per cent of demand. The remaining 56 per cent came from imports, and have shown little sign of reversing despite successive policy interventions.

The composition of imports reveals the scale of vulnerability. Palm oil accounts for nearly 55-57 per cent of imports, sourced mainly from Indonesia and Malaysia. Soybean oil comes largely from Argentina and Brazil, while sunflower oil is dominated by supplies from Russia and Ukraine. In the first six months of the current oil year alone, imports touched Rs 87,000 crore, up 19 per cent year-on-year. A weakening rupee—which has depreciated over 9 per cent against the dollar over the past year—has made every imported tonne more expensive.

It was against this backdrop that Prime Minister Modi made what initially appeared to be an unusual appeal: reduce edible oil consumption by 10 per cent. "We have to spend foreign currency on its imports. If every household reduces the use of edible oil, it is a huge contribution to patriotism," he said. "This will improve the health of the national treasury and the health of every family member." The appeal reflected